annual report, RBI booked Rs 50,629 crore of unrealized valuation gains into realized profits in 2020–21 by selling the foreign exchange securities it held and simultaneously bought the same or different securities at the current prices. The booked valuation gains of Rs 50,629 crore raised the transferable income from Rs 29,573 crore to Rs 80,202 crore. RBI actually transferred Rs 99,126 crore. The balance of about Rs 19,000 crore was made up by under-transferring an equal amount to the Contingency Fund.

With these acrobatics, RBI could manage to keep the facade of the ECF as recommended by The Jalan Committee. RBI has also reached to the end of the revaluation corridor recommended by the Jalan Committee. If the rupee appreciates on 31 March 2022 a little higher than what it was on 31 March 2021, the valuation buffers to maintain even the lower limit of valuation corridors would get breached. There is a good likelihood that the RBI will not be able to defend the valuation corridor in 2021–22 unless the rupee depreciates by a good measure or the government settles for a very low transfer, as in 2019–20. The Jalan Committee has been de facto buried for 2020–21 transfers. It will most likely be formally buried when it comes to deciding the 2021–22 surplus transfer.